

FORM TP 2011130



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**CARIBBEAN EXAMINATIONS COUNCIL
ADVANCED PROFICIENCY EXAMINATION**

ACCOUNTING

UNIT 2 – PAPER 02

$2\frac{3}{4}$ hours

31 MAY 2011 (p.m.)

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C.E.S.E.C.

1. This paper consists of **THREE** questions.
2. **EACH** question is worth 35 marks.
3. **ALL** questions are **COMPULSORY**.
4. Begin **EACH** answer on a new page.
5. Silent non-programmable calculators may be used, but **ALL** necessary working should be clearly shown.

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1. (a) The following information was taken from the accounting records of Horsford Company for the year ended December 31, 2010:

	\$
Direct material purchases	880 000
Indirect materials used	175 000
Direct labour	940 000
Other factory overheads	295 000
Selling expenses	250 000
Administrative expenses	360 000
Sales	4 200 000

Inventories	January 01	December 31
	\$	\$
Raw (direct) materials	230 000	140 000
Work in process	75 000	60 000
Finished goods	200 000	300 000

- (i) Prepare a schedule of cost of goods manufactured for the year ended December 31, 2010. [11 marks]
- (ii) Calculate Horsford Company's cost of goods sold for the year ended December 31, 2010. [4 marks]
- (b) (i) Identify THREE major elements in the cost of a manufactured product. [3 marks]
- (ii) Explain EACH of the following types of costs and give ONE example of EACH.
- Product cost
 - Period cost
 - Mixed cost [6 marks]
- (iii) Distinguish between prime cost and conversion cost. [2 marks]
- (iv) Identify ONE method that is used to separate mixed cost into its components. [1 mark]
- (v) Explain how direct and indirect costs are typically treated in an income statement of a service organization. [3 marks]

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- (c) Wallace Company applies manufacturing overhead to jobs on the basis of machine hours used. In 2010, manufacturing overhead costs were expected to total \$550 000 and machine usage was estimated at 125 000 hours.

The manufacturing overhead cost incurred in January 2010 was \$30 000 and the number of machine hours used was 15 000.

- (i) Compute the pre-determined manufacturing overhead rate for the year.
[3 marks]
- (ii) Calculate the amount of manufacturing overhead applied during January 2010.
[2 marks]

Total 35 marks

NOTHING HAS BEEN OMITTED.

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2. (a) The management accountant of Lawson Bravo Company compiled the following data for its only product, Oildown, during its first year of operation:

	\$
Sales price per unit	30
Variable costs per unit:	
Selling and administrative expenses	2
Production	4
Fixed manufacturing costs per unit produced	4
Fixed selling and administrative cost per unit sold	3
Units manufactured	5 000
Units sold for the year	3 800

- (i) Assuming that Lawson Bravo Company uses an absorption costing system, compute its operating income for the year. [4 marks]
- (ii) Assuming that Lawson Bravo Company uses a marginal costing system, compute its operating income for the year. [4 marks]
- (iii) Reconcile the operating income figures computed in parts (a) (i) and (ii) above. [2 marks]
- (b) Belmopan Company produces calendars in a one-process department. Direct materials are introduced at the beginning of the process. Conversion costs are applied uniformly throughout the process. The weighted-average method of process costing is used. Data for the current period are as follows:

Beginning work in process inventory (40% complete for conversion cost)	22 500 units
Units started in current period	130 000 units
Units completed in current period	124 000 units
Ending work in process inventory (60% complete for conversion cost)	28 500 units

Costs contained in beginning work in process inventory	
Direct materials	\$ 51 900
Conversion costs	\$ 20 174
Costs added during current period	
Direct materials	\$ 430 000
Conversion costs	\$ 310 000

Prepare a production report for Belmopan Company. [15 marks]

- (c) (i) State THREE fundamental differences between activity-based costing and traditional costing systems such as process costing. [6 marks]
- (ii) Explain how cost drivers are selected in activity-based costing systems. [4 marks]

Total 35 marks

3. (a) Define the term 'budget' and outline FOUR benefits of budgeting. [6 marks]

Use the information below to answer Questions 3 (b) and 3 (c).

The Management Accountant of Philmore Inc. has provided you with the following information pertaining to the company.

- | | |
|---------------------------|---------|
| 1. Monthly Sales: | \$ |
| November 2010 (Actual) | 100 000 |
| December 2010 (Actual) | 150 000 |
| January 2011 (Forecasted) | 175 000 |
| February 2011 | 160 000 |
| March 2011 | 120 000 |
2. Cash collection pattern:
- 30% in the month of sale
 - 50% in the next month
 - 18% in the month following
 - 2% uncollected
3. Cost of goods sold = 60% of sales
Desired ending inventory = 20% of next month's sales
Inventory on hand at December 31, 2010 35 000
4. Payment pattern:
- 40% of purchases paid in the month of purchase
 - 60% paid in the following month
- Accounts payable at December 31, 2010 55 800
5. Other information:
- | | |
|---|--------|
| Cash in bank on January 1, 2011 | 10 000 |
| Expected purchase of equipment in January 2011 (40% of this was paid) | 50 000 |
| Dividends – January 2011 | 30 000 |
| Administrative expense – per month, paid in month | 40 000 |
| Mortgage payment due in January 2011 | 5 000 |
| Selling expense is 5% of sales of the current month to be paid in month | |
| Interest expense payable in January | 1 000 |
6. The company has access to a line of credit with the bank with the following terms:
- Borrowings in a given month are taken out at the beginning of the month.
 - Repayments are made at the end of the month.
7. The company wants to maintain a minimum cash balance of \$10 000 at all times.

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- (b) Prepare the following for the month of January 2011:
- (i) Cash collection schedule [7 marks]
 - (ii) Purchases schedule [4 marks]
 - (iii) Cash disbursement on purchases schedule [4 marks]
- (c) Prepare the cash budget for the month of January 2011 [14 marks]
- Total 35 marks**

END OF TEST